

Freelancers Union — Income Stability Account (ISA) Brochure 2025

Status: ARCHIVE. Brochure that Jesse received while evaluating the ISA program. Joined Jul 2025.

What is the ISA?

The Income Stability Account is a Freelancers Union program designed to smooth out the irregular monthly cash flow common to freelance work. The freelancer designates a target monthly draw band, and the program smooths actual revenue against a 12-month rolling average so the monthly draw stays in band even when invoiced revenue spikes or dips.

Who it is for

Solo-prop and sole-LLC freelancers with at least 18 months of trailing 1099 income. Annual revenue band \$40,000 to \$250,000. Income variance >25% month-over-month is the typical signal.

How it works

- 1. Apply.** Submit 18 months of trailing 1099 revenue (or Stripe/QuickBooks export) along with a target monthly draw band. Approval is typically 4-6 weeks.
- 2. Smoothing buffer.** The ISA holds a smoothing buffer equal to ~2 months of average revenue. When actual revenue exceeds the draw band, excess flows into the buffer. When actual revenue falls short of the draw band, the buffer covers the difference.
- 3. Monthly draw.** The freelancer receives the consistent monthly draw on the 1st of each month regardless of what invoiced in the prior month. Tax estimates are still owed quarterly; ISA does not change the tax cadence.
- 4. Annual reconciliation.** At year-end, the ISA reconciles the buffer against the year's actual revenue. Buffer excess returns to the freelancer; buffer deficit is carried forward.

Fees

\$45/month ISA service fee. No other charges. No interest on the buffer (the ISA holds buffer cash in a high-yield savings sub-account; modest interest accrues to the freelancer separately).

Why Jesse considered it

Jesse's monthly invoiced revenue varies meaningfully month-over-month (cookbook PayPal milestones are lumpy; editorial residuals trickle; restaurant retainers are steady; cold-pitch wins are unpredictable). Monthly draw band \$9,500 to \$11,000 against a 12-month rolling average is the structure she'd use.

Application status

Applied July 2025. Approved August 14, 2025. First smoothed draw September 1, 2025. The program has worked well through Q4 2025 (one Stripe payout delay was completely absorbed by the buffer without Jesse feeling the dip). See `data/freelance_isa_application_2025.txt` for the application notes.

END OF BROCHURE.